

SIP (Systematic Investment Plan) Basics

A Systematic Investment Plan (SIP) is a way to invest in mutual funds by contributing a fixed amount at regular intervals.

The Benefits of SIPs

1. Rupee Cost Averaging: You don't need to time the market. You buy more units when the market is down and fewer when it is up.
2. Discipline: It automates your investment, making it a habit.
3. Power of Compounding: The longer you stay invested, the more your money grows exponentially.

Getting Started

- Choose a fund type: Large-cap (stable), Mid-cap (growth), or Index Funds (low cost).
- Set a date: Usually right after your salary hits your account.
- Start Small: You can start with as little as 500 per month.

The Step-Up SIP

Increase your SIP amount by 10% every year as your income grows. This can significantly boost your final corpus over 10-20 years.